NATIONAL BANKING AUTHORITY
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January 5, 2027

National Banking Authority (Managing Risks in Outsourcing of Financial Services) Directions, 2026

Chapter I — Preliminary

1. Short Title and Commencement: These Directions shall be called the National Banking Authority (Managing Risks in Outsourcing of Financial Services) Directions, 2026, and shall come into force with effect from May 1, 2027.

2. Applicability: These Directions apply to every regulated entity that outsources any business process, technology function, or customer-facing activity to a third-party service provider.

3. Definitions

(i) 'Material Outsourcing' means an outsourcing arrangement that, if disrupted, has the potential to significantly impact the regulated entity's business operations, reputation, or ability to manage risk.

(ii) 'Service Provider' means any entity, whether affiliated or unaffiliated, engaged to perform an outsourced activity on behalf of the regulated entity.

(iii) 'Sub-Outsourcing' means the further delegation of an outsourced activity by the service provider to another entity.

(iv) 'Concentration Risk' means the risk arising from over-reliance on a single service provider across multiple critical functions.

Chapter II — Due Diligence and Board Oversight

3. The Board of Directors, or a committee to which the Board has delegated power, shall approve a comprehensive outsourcing policy prior to engaging any third-party service provider for material business functions.

4. Regulated entities shall conduct due diligence on prospective service providers, covering financial stability, security controls, and business continuity capability, prior to entering into any outsourcing arrangement.

5. Outsourcing activities shall be classified as prohibited or permitted in accordance with Annexure I.

Category	Examples	Status
Core Management Functions	Internal audit, compliance oversight, Board decision-making	Prohibited
KYC Determination	Final decision on customer risk categorization	Prohibited
Customer Service Operations	Call centers, chat support, back-office processing	Permitted, with due diligence
IT Infrastructure	Cloud hosting, data center management	Permitted, with due diligence
Document Verification	Physical KYC document collection and scanning	Permitted, with due diligence

Chapter III — Ongoing Monitoring and Business Continuity

6. Regulated entities shall maintain the ability to promptly retrieve customer data from the service provider at all times, and such data shall not be processed or stored outside the jurisdictions approved by the Authority without prior written approval.

7. Regulated entities shall conduct an annual review of each material outsourcing arrangement, assessing the service provider's performance, compliance posture, and financial condition.

8. A business continuity and disaster recovery plan shall be in place for all material outsourced activities, and shall be tested at least once every twelve months.

9. Where a service provider experiences a material disruption or security incident affecting customer data, the regulated entity shall notify the Authority within 24 hours, regardless of whether the incident originated with the service provider or the regulated entity itself.

> *Explanation:* For the purposes of clause 6, jurisdictions approved by the Authority are notified separately and reviewed on an annual basis; storage in a non-approved jurisdiction, even temporarily for backup purposes, constitutes a breach of this clause.

10. Sub-outsourcing of a material activity by the service provider shall require the prior written consent of the regulated entity, and the regulated entity shall remain fully accountable for the sub-outsourced activity.

11. Regulated entities shall assess concentration risk across all material outsourcing arrangements at least once annually and shall report significant concentration to the Risk Management Committee of the Board.

Chapter IV — Exit Strategy and Termination

12. Every outsourcing agreement shall include a documented exit strategy ensuring business continuity in the event of termination, insolvency of the service provider, or regulatory intervention.

13. Regulated entities shall retain ultimate responsibility and accountability for all outsourced functions, and outsourcing shall not diminish the obligations of the regulated entity or the rights of its customers.

Chapter V — Board and Senior Management Responsibilities

14. The Board of Directors shall review the entity's overall outsourcing portfolio, including concentration risk exposure, at least once every year.

15. Senior management shall ensure that outsourcing decisions are consistent with the entity's risk appetite as approved by the Board.

Chapter VI — Transitional Provisions

16. Existing outsourcing arrangements shall be brought into compliance with the exit strategy requirement under clause 12 within twelve months of the commencement date.

17. Guidance notes issued by the Authority on outsourcing risk management prior to these Directions stand repealed with effect from the commencement date.

Chapter VII — Record Keeping and Penalties

18. Records of due diligence assessments, annual reviews, and business continuity test results shall be retained for a minimum of five years.

19. Engaging a service provider for a prohibited activity listed in Annexure I shall be treated as a material regulatory breach and reported to the Authority within seven days of discovery.

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